

‘ABD’s strategy is to broaden its portfolio of brands & increase revenue’



Shekhar Ramamurthy
Executive Deputy Chairman, ABD

Please tell us about ABD’s journey from inception until now...

ABD was founded in 1988 on the back of a single brand, Officer’s Choice, a whisky that has become a global powerhouse in the market, and the third-largest selling whisky in the world. A relatively young company, ABD’s portfolio, over the years, has expanded across multiple market segments to include brandy, rum, vodka and bottled water. ABD’s products are now available in 22 countries.

How did the alco-bev industry, and ABD in particular emerge from the pandemic?

The pandemic hit the alcoholic beverage industry in India more than others. With lockdown restrictions, there was an understandable decline in the desire to spend time in public spaces. This had a direct impact on the alcoholic beverage industry because a lot of consumption occurs outside home environments. After all, socialising plays a critical element in driving our business.

But with Covid under control now, and people getting back to theatres, restaurants and bars like before, things are looking up.

My task from day one has been to realign the company as the effects of the pandemic recede. One of my key objectives has been to pull the team together, to give them a sense of direction, confidence and belief that the good times will return. That common purpose, is directed towards building brands, working towards growth, investing in people and investing behind brands.

What is ABD’s take on premiumization of the alco-bev industry?

India’s economic growth is uplifting millions of peo-

ple to higher socio-economic strata. And that brings more people into branded categories of whisky. Positioned in the mass premium segment Officer’s Choice is ABD’s entry-level branded whisky. It’s at that sweet spot where people coming into the branded segment have a product that offers quality, is aspirational and widely available. For the urban elite with a higher disposable income, Sterling Reserve is ABD’s more premium offering, with two labels: Blend 7 and Blend 10. We launched it five years ago and has the rare distinction of selling more than a million cases in the very first year of launch.

A key element of our strategy is to broaden our portfolio of brands by launching new brands to penetrate the higher-priced segments of the market and increase our revenues. We believe that the higher-priced market segments in India offer significant growth potential. In order to strengthen our presence in the premium segments of the market, we continue to develop a number of products based on our market research and understanding of consumer tastes and trends.

What does ABD’s innovation roadmap look like?

Recently, the company launched a clutch of new whisky products across price segments. ICONiQ White Whisky in the Deluxe whisky segment, Srishti Premium Whisky and Sterling Reserve B7 Whisky Cola Mix in the semi-premium segment and X&O Barrel Premium Whisky.

X&O Barrel Premium Whisky is a premium blend of best Scotch malts matured in American bourbon barrels and finest Indian grain spirits.

ICONiQ White is a delightful blend of imported Scotch malts aged in bourbon oak casks, blended with select matured malt and finest Indian grain spirits.

Srishti Premium Whisky is a blend of rare Scotch Malts paired with select Indian grain spirits; its unique expression is rounded off with curcumin.

Sterling Reserve B7 Whisky Cola Mix is the award-winning whisky blend, infused with cola to add a zing to every drinking occasion.

We are also developing new products in the Scotch segment by creating new blends which will offer a superior product experience for consumers. In addition, we intend to introduce premium products that will be bottled-in-India and import certain bottled-in-origin products. The company also intends to introduce products that it believes will appeal to younger consumers. These include flavoured spirits, craft spirits, low alcohol content beverages and ready mixes.

ABD has filed the draft for an IPO. Why do you think it is the best time to come up with an IPO?

A liquor company will be tapping the capital markets after a really long time. The company is 100 per cent privately owned, but the management is almost entirely professional. We believe it is the right time for ABD to shed our privately owned status, go to the public and give an opportunity to a larger number of shareholders to be a part of our success.

Part of the proceeds received from the fresh issue will be used to retire our debt and the balance will be used for general corporate purposes.

My leadership mantra

A CEO needs to see the big picture, needs to set the direction, but also have tight control on the details, without stepping into the role of others. I think the important thing is to be constantly vigilant for the opportunities of tomorrow while meeting the challenges of today. I am very mindful that a successful organization does both equally well because you are judged on today’s performance, but you are evaluated on your preparedness for the challenges of tomorrow.